

GoDaddy (GDDY): The 8.6x Fwd P/E \$1.2B FCF Monopoly

GoDaddy has experienced a **-36.5% multiple compression pullback from \$150.47 down to \$95.54** (\$12.1B Market Cap / \$14.7B Enterprise Value). GDDY now trades at an extraordinary **8.66× Forward P/E** and a **~10.0% Free Cash Flow Yield**.

GDDY generated **\$1.205 Billion in Free Cash Flow** over the trailing twelve months on \$5.10B in revenue (a **23.6% FCF margin**) with **>90% recurring annual subscription revenue**. Management allocates nearly 100% of excess FCF to accretive share repurchases, shrinking shares outstanding by ~4% annually.

VALUATION AT \$95.54

8.66× Forward P/E

Down 36.5% from \$150 ATH

CASH GENERATION

\$1.205B Free Cash Flow

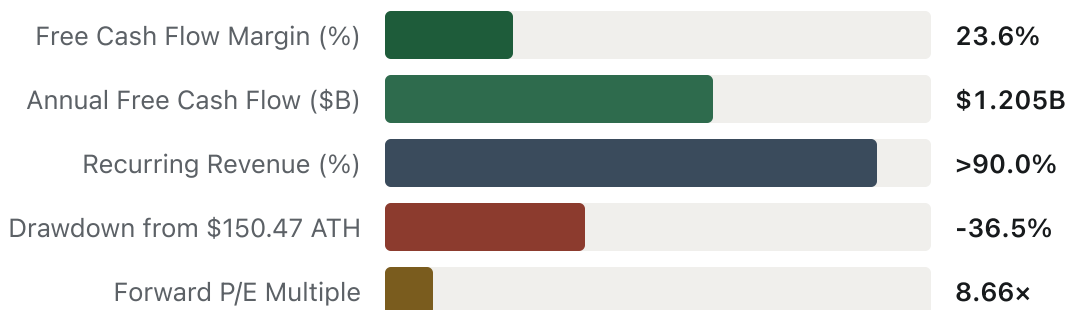
23.6% FCF Margin · 10.0% FCF
Yield

ADJUDICATED VERDICT

OWNABLE (Starter 2.0%)

Global domain & web infrastructure
cash cow

The Moat: High-Switching-Cost Global Internet Real Estate



Why Domain Infrastructure Compounds: Once an SMB or corporate enterprise registers its domain, configures its DNS, sets up corporate Microsoft 365/Google Workspace email routing, and deploys its website, churn drops to near zero. GoDaddy exercises consistent 3–5% annual pricing power on renewals with zero unit volume elasticity.

EXECUTION ARCHITECTURE

Execution & Sizing Architecture

TRANCHE	TARGET PRICE RANGE	ALLOCATION (% BOOK)	EXECUTION RATIONALE
Tranche 1 (Starter Entry)	\$92.00 – \$96.00	1.00% (\$10,000)	Immediate entry at 8.66x Forward P/E and 10% FCF yield.
Tranche 2 (Dislocation Add)	\$80.00 – \$85.00	1.00% (\$10,000)	GTC limit ladder at <7.5x Forward P/E.
Portfolio Sizing Cap: 2.0% Maximum Allocation (\$20,000 USD). Buyback put provides continuous per-share EPS compounding.			